

Value of supply for GST [¶32-027]

[¶32-027]

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The value of a supply is significant because it is the amount upon which GST is calculated. For example, \$15 GST is charged if the value of the supply is \$100.

Calculating the value of supply

Section [10\(2\)](#) provides the following formula for calculating the value of supply:

$$\text{value of supply} + \text{tax charged} = \text{consideration (as defined)}$$

Consideration

In most situations a supplier will require payment in money. In these cases, “consideration” for the supply will usually be the agreed GST-inclusive price. This price is called “consideration in money”. It appears that payment by means of an exchange rather than in money will still constitute “consideration in money” if the goods tendered in exchange are stated as having a precise monetary value.

Occasionally the consideration might be only partly expressed in money or might not be expressed in money at all. For example, a shopkeeper might not charge his window-cleaner for certain supplies. If those supplies are not expressed as having a precise monetary value, reference must be made to the “open market value” of the supply to set the consideration or to make up the deficiency between the market price and the price charged. See Case T11 [\(1997\) 18 NZTC 8,064](#).

Open market value

Consideration is determined by reference to the open market value if goods and services are supplied:

- # at no, or inadequate, consideration, or
- # for a consideration other than money.

Generally, the open market value is the price (including GST) that similar goods and services would fetch in similar circumstances if the supply was freely made and the parties to the transaction were not associated persons. IR sets out the criteria in *Tax Information Bulletin* [¶614-105 Vol 6, No 14](#), June 1995 at 6. If the open market value cannot be ascertained, the Commissioner is empowered to fix the value. Book value is not an appropriate basis. Like “consideration”, “open market value” is always a GST-inclusive amount.

Definition of “consideration”

The definition of “consideration” in s [2\(1\)](#) extends the ordinary meaning of the word; it does not have the same meaning that it has in general contract law. The definition requires that the “consideration” be provided “in respect of, in response to, or for the inducement of, the supply of goods and services”. It has been held that the phrase “in respect of” imports the notion of connection or relationship between the supply and the payment. See *Trustee, Executors and Agency Co New Zealand Ltd v C of IR* [\(1997\) 18 NZTC 13,076 \(HC\)](#), *Chatham Islands Enterprise Trust v C of IR* [\(1999\) 19 NZTC 15,075 \(CA\)](#) and *Rotorua Regional Airport Ltd v C of IR* [\(2010\) 24 NZTC 23,979 \(HC\)](#).

Unconditional gift

Note that the definition of “[consideration](#)” specifically excludes any payment made by any person as an unconditional gift to any non-profit body. An “[unconditional gift](#)” is defined in s [2\(1\)](#) and requires a voluntary payment made for the purposes of the non-profit body in respect of which no identifiable direct valuable

benefit arises in the form of a supply of goods or services to the donor or an associated person. If a payment made to a GST-registered non-profit body is an “[unconditional gift](#)”, it is not “[consideration](#)” for a supply and is not subject to GST.

Interpretation statement, [IS 20/09](#), “Goods and services tax – unconditional gifts” provides guidance on the meaning of “[unconditional gift](#)”. In summary, the statement reaches the following conclusions regarding an “[unconditional gift](#)”:

A payment made to a non-profit body is an unconditional gift where:

the payment is voluntarily made for the carrying on or carrying out of the non-profit body’s purposes, and

no “identifiable direct valuable benefit” in the form of a supply of goods and services to the payer (or an associated person) arises or may arise in respect of the payment.

Unconditional gifts generally do not include payments made to a non-profit body under a statutory or other legal obligation, including payments made under contractual obligations. This is because those payments are not usually considered to be voluntarily made, given they are required to be made. They are not made from a person’s own free will. However, a payment made under a sense of moral obligation may still be regarded as being voluntarily made.

An “identifiable direct valuable benefit” is an advantage or gain in the form of a supply of goods or services to the payer (or an associate of the payer) that is:

clearly able to be defined or identified

sufficiently closely connected to the payment

useful, important and of real value

capable of being valued, and

not of only nominal worth.

The benefit must not be in the form of a supply of goods or services to the payer (or an associated person) “in respect of” the payment. Where the benefit will arise regardless of whether the payment is made, there will not be a sufficient link between the benefit and the payment. However, where there is a sufficient link, the payment is not an “unconditional gift”.

It is sufficient that an identifiable direct valuable benefit “arises or may arise”. This means that the benefit need not arise when the payment is made, instead the benefit can arise in the future or be contingent on a future event or action occurring after the payment is made.

Amounts donated to a non-profit body for a specified purpose with stipulations as to how the funds are to be used may be unconditional gifts, provided no identifiable direct valuable benefit arises or may arise in the form of a supply of goods and services for the payer (or an associated person).

Where a single supply of goods or services is made for an agreed consideration it cannot be split into 2 parts — with one part being an unconditional gift (and not subject to GST) and the other part being consideration for a supply of goods and services (and subject to GST). The value of a supply is determined by the consideration paid, and there is no ability under the Act for a portion of the agreed consideration to be notionally treated as an unconditional gift.

Examples of calculation of value of supply

The following examples illustrate the application of the formula value of supply + tax charged = consideration. The examples assume that the supplies are made on or after 1 October 2010.

Example:

Consideration expressed in monetary terms

The consideration for the supply is expressed to be \$920. Tax charged on the supply is \$120.

Value of supply + \$120 = \$920

Value of supply = \$800

Example:

Consideration not expressed in monetary terms

The open market value of the consideration is \$920.

Value of supply + \$120 = \$920

Value of supply = \$800

Example:

Consideration expressed partly in monetary terms

The consideration is stated to be partly in money: "\$460 (including \$60 GST)". The other part of the consideration is not expressed in monetary terms, but the goods to which the consideration relates have an open market value of \$920.

Value of supply + tax = \$460 (the consideration in money) **plus** \$460 (the open market value)

Value of supply + \$120 = \$920

Value of supply = \$800

In most situations, a supplier will charge market prices and GST will be calculated on the contract or market price. Where there is some non-monetary consideration, GST is calculated on the market value of that component.

Therefore, the general rule is that GST is calculated on the purchase or contract price plus any non-monetary consideration. Occasionally, this rule will require modification. Accordingly, special rules apply to:

- # supplies made between associated persons — s [10\(3\)](#)
- # the cancellation of layby sales — s [10\(9\)](#)
- # a business that ceases to be registered — s [10\(7A\)](#)
- # a business that ceases to be registered and the goods and services were acquired before 1 October 1986 — s [10\(8\)](#)
- # supplies of accommodation in commercial dwellings or residential establishments — s [10\(6\)](#)
(Note that this provision does not apply to the supply of listed services made through an electronic marketplace ([¶32-640](#)))
- # credit contracts — s [10\(5\)](#)
- # distantly taxable goods — s [10\(7C\)](#), [\(7D\)](#), [\(7E\)](#)
- # exported secondhand goods and secondhand goods sold overseas — s [10\(4\)](#)
- # fringe benefits — s [10\(7\)](#)
- # games in casino premises — s [10\(15A\)](#)
- # games of chance, instant games, lotteries and prize competitions — s [10\(14\)](#)
- # supplies of remote services by marketplace operators — s [10\(7D\)](#)
- # supplies of listed services — s [10\(7D\)](#)
- # supplies by local authorities — s [10\(11\)](#)
- # mixed taxable and non-taxable supplies — s [10\(18\)](#)
- # supplies by a public authority to the Crown — s [10\(10\)](#)
- # racing and sports betting — s [10\(12\)](#), [\(13\)](#), and
- # supplies made for no consideration — s [10\(19\)](#).

For the value of supply rules for imported services, see [¶32-430](#).

Associated supplies

A supply of goods and services from a registered person to an associated party is subject to special valuation rules. The general rule is that the consideration for the supply is deemed to be the open market value of the supply. However, the open market value rule does not apply to supplies between associated persons where (s [10\(3\)](#), [\(3A\)](#), [\(3AB\)](#)):

- # the associated person is an employee of the supplier and the supply is a fringe benefit
- # the price paid exceeds the open market value of the supply (see Case M110 (1990) 12 NZTC 2,704)
- # the recipient is entitled to claim an input tax deduction, or would have been entitled to do so if the supplier had been registered, or
- # the consideration is nil, and from the time of supply, the recipient applies the goods and services for the making of taxable supplies.

Example:

Pat is GST registered and uses a car in the course of her business. She sells the car to her son for \$500 (although the car's market value is \$4,000). Pat must account for GST of 3/23 of \$4,000 (s [10\(3\)](#)).

Example:

In the same fact situation as Example 4, if Pat's son is also GST registered and has purchased the car for business purposes, Pat's output tax liability would be 3/23 of \$500 (s [10\(3A\)](#)).

Deregistering for GST

A supply is deemed to be made if a person ceases to be registered and holds goods and services forming part of the assets of a taxable activity ([¶132-023](#)). The consideration for such a supply is the open market value of the supply. Note that on deregistration goods or services acquired before 1 October 1986 are valued at the lesser of cost or market value. All goods or services acquired after the introduction of GST must be valued at the current market value. This ensures that taxpayers cannot deregister for GST purposes and pay GST at the historical cost rather than the current value that would apply if those goods or services had been supplied by the taxpayer while they were still registered: see *Thompson v C of IR* (2011) 25 NZTC ¶20-041 (CA).

Example:

Bruce and Shelly purchased a farm in 1984 for \$95,000. They registered for GST when GST was introduced in 1986. They are now winding down their taxable activity and want to deregister. The farm has a market value of \$450,000. Bruce and Shelly's output tax liability is 3/23 of \$95,000.

Example:

Under the same scenario as Example 6, with the exception that the farm was purchased in 1988, not 1984, Bruce and Shelly's output tax liability would be 3/23 of \$450,000.

Law: GST ss [2\(1\)](#) ("consideration", "consideration in money", "unconditional gift"), [4](#), [10](#)

Last reviewed on 31 December 2025